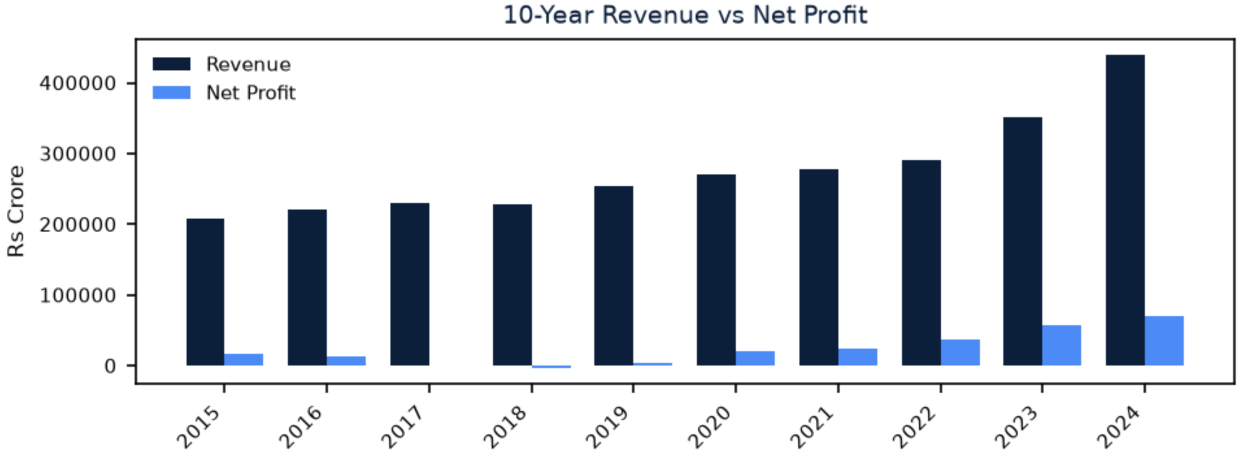
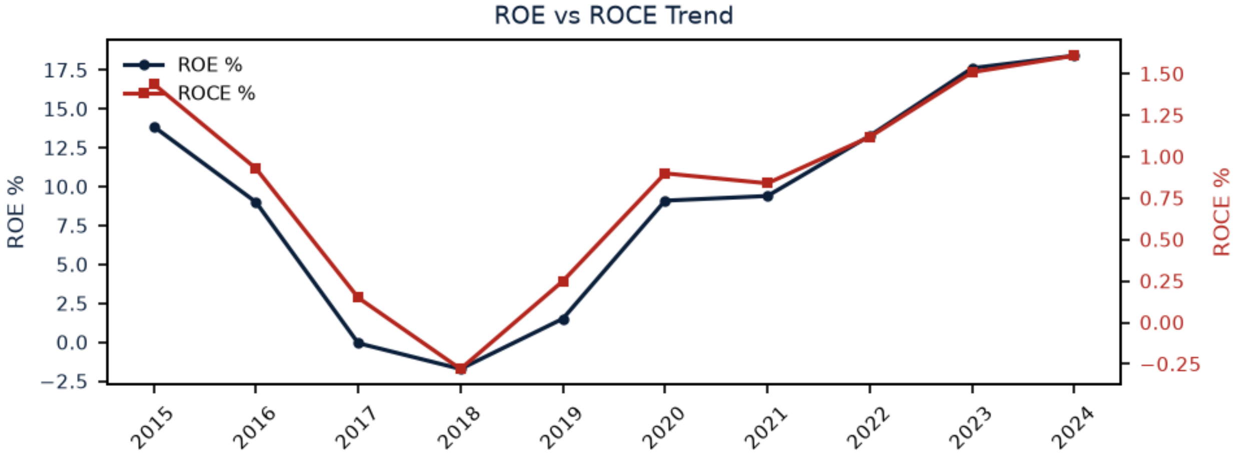
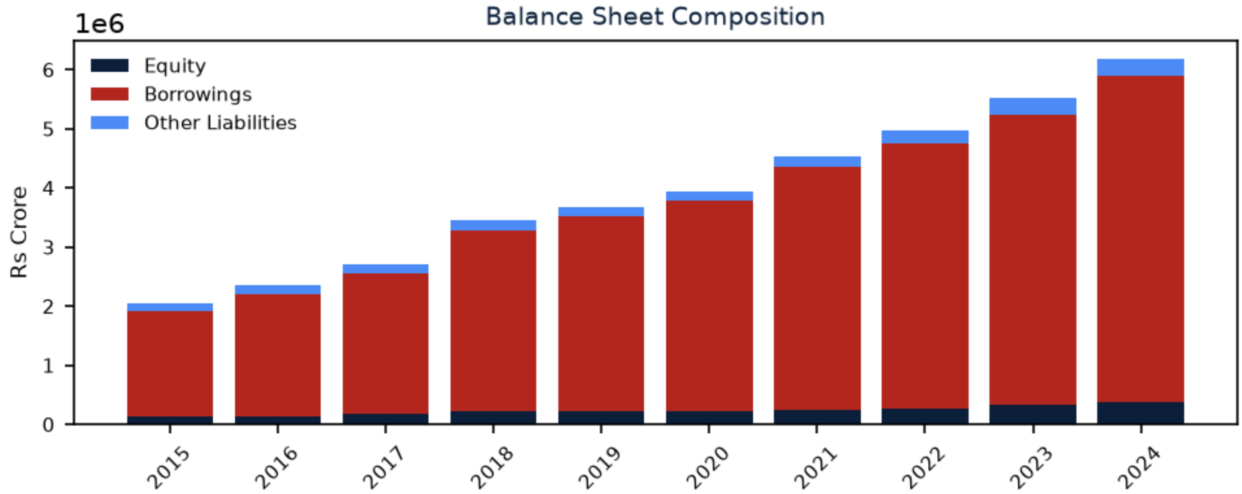
State Bank of India

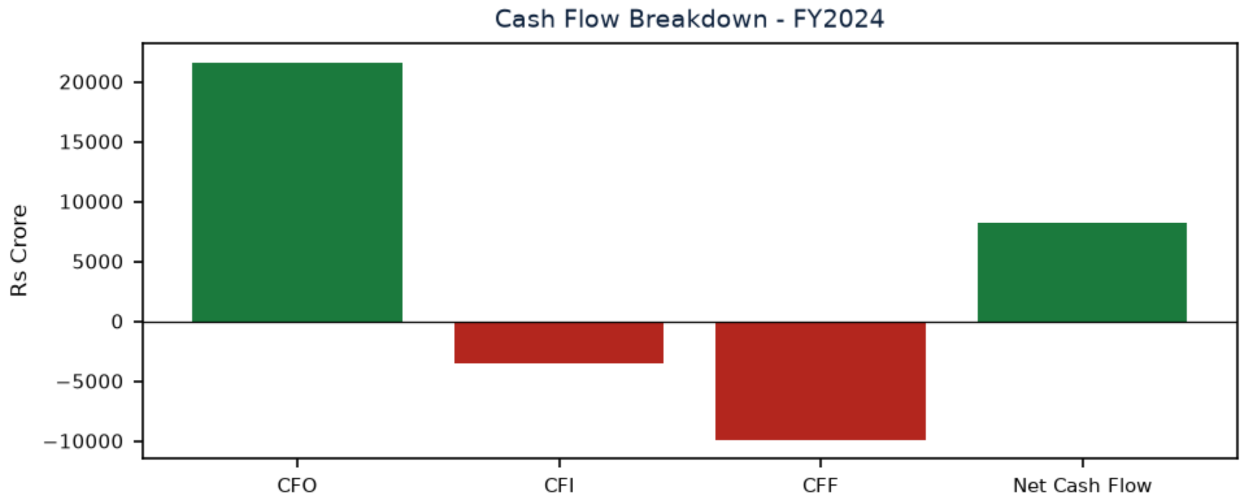
SBIN

18.4% ROE	**1.6%** ROCE	**14.6x** D/E
-13.7% OPM	**11.6%** Revenue CAGR 5yr	**83.4%** PAT CAGR 5yr









Pros

+ Net profit compounding at above 20% over 5 years creates significant shareholder value
+ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
+ Revenue growing slower than profits shows improving operating leverage and scale benefits
+ Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation Pattern

Reinvestor